

The Claim and the Coin

Tokenisation and the oldest trick in money, from the goldsmith's receipt to the tokenised Treasury bill.

RATTY2TAILS

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A long-form essay on asset tokenisation, stablecoin reserves, and Britain's cryptoasset regime

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TL;DR

Tokenisation — representing an asset as a transferable digital entry — is not a new idea wearing a blockchain costume. It is the latest instalment in a five-century argument about what happens once a receipt starts trading as though it were the thing itself. By the middle of 2026 the tokenised real-world asset market had passed roughly \$31 billion excluding stablecoins, the stablecoin market alone exceeded \$300 billion, and Britain had finally built a statutory gateway — the Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026 — for issuers to walk through. Underneath the new infrastructure, the old question hasn't moved: is the token a claim on someone else's promise, or is it the asset itself? Tether's own 2026 disclosures supply a live case study in why that question never goes away. Bitcoin remains the one instrument in this essay that was never tokenised, because it was born as the bearer asset everything else in this market is now trying, at considerable expense, to imitate.

Introduction & Scope

Every few decades, finance rediscovers the same idea and gives it a new name. The idea is simple: instead of moving the actual asset — the gold bar, the bond certificate, the parcel of farmland — you move a piece of paper (or, now, a line of code) that stands in for it. The paper is easier to carry, easier to divide, easier to trade at speed. Readers of this series will already recognise the shape of the argument, because it is the same shape that runs through the debasement of coinage, the suspension of gold convertibility, and the stock-to-flow logic behind a fixed-supply bearer asset: the interesting question is never whether a claim is convenient. It obviously is. The interesting question is what happens to the relationship between the claim and the thing it claims to represent once the claim starts trading on its own terms.

“Tokenisation” is the 2026 name for this idea. Concretely, it means taking a legal or economic right — a share in a money-market fund, a bar of gold in a vault, a slice of a private loan — and issuing a transferable digital token on a blockchain that represents that right. The token can be sent between wallets in seconds, split into fractions, and, in principle, traded around the clock without the settlement delays of traditional securities infrastructure. None of that is controversial. What this essay

is interested in is the older, less comfortable question sitting underneath the engineering: a token is a claim, and a claim is only as good as (a) the thing standing behind it and (b) the mechanism by which anyone outside the issuer can check that the thing is still there.

The essay is organised in six parts. It first traces the lineage of asset-claims from the goldsmiths of Restoration London through to 2026's tokenised Treasury funds, to show that the technology is new but the pattern is not. It then sets out, mechanically, what tokenisation actually does and does not achieve. It sizes the current market using the best data available as this essay went to press. It uses Tether's 2026 audit and attestation history as a case study in the specific, recurring problem of verifying a claim's backing. It surveys the regulatory gateway Britain has spent 2026 constructing. And it closes on why Bitcoin sits outside the taxonomy this essay otherwise describes — not as a better claim, but as the absence of the need for one.

01

The Old Trick in New Code

The lineage is longer than most 2026 market reports let on. In the 1650s, London goldsmiths who held gold on deposit for merchants began issuing handwritten receipts promising to return it on demand. Merchants quickly noticed that trading the receipt was easier than trading the gold, and the receipts began to circulate as money in their own right. The goldsmiths noticed something else: since receipts rarely all came back for redemption on the same day, they could safely issue more receipts than they held gold to cover, and lend the difference out at interest. That is the moment fractional-reserve banking is usually said to begin, and it is also, in miniature, the moment a claim first became more useful, and more dangerous, than the asset it claimed to represent.

The state formalised the same trick at national scale in 1694, when the newly-founded Bank of England began issuing notes against a mixture of gold and, crucially, government debt — a mechanism this series has already examined for its role in financing Britain's wars. By the twentieth century the claim had migrated again, this time onto paper share and bond certificates: a bearer certificate was, functionally, a tokenised slice of a company or a government, transferable by physical delivery. Britain then took the next logical step in 1996, when the London Stock Exchange's CREST system dematerialised most UK securities altogether — ownership became a book entry on a central electronic register, with no paper instrument at all. CREST is, in every way that matters structurally, the direct ancestor of a tokenised security: a purely electronic claim, centrally recorded, transferable by ledger update. Blockchain tokenisation changes who keeps the ledger and how settlement is finalised; it does not introduce the idea of an electronic claim standing in for an asset, which Britain's own market infrastructure had already normalised a generation earlier.

What blockchain rails added, starting tentatively with 2014's “coloured coins” and more seriously with the 2017–18 wave of Security Token Offerings, was a claim that could settle without a central intermediary at all — in principle. Most of that first wave failed commercially: the tokens were legally real but illiquid, and regulators had not yet built a framework for them to trade freely. The current cycle, running roughly from MakerDAO's 2021 real-world-asset vaults through to 2026's institutional entrants, succeeds where the first wave didn't for a specific reason — it stopped trying to route around securities law and started building compliance into the token itself, using regulated custodians, special-purpose vehicles, and standard exemptions. BlackRock's BUIDL fund, Franklin Templeton's BENJI, and the Depository Trust & Clearing Corporation's own pilot are all, in this sense, closer cousins of CREST than of the 2018 tokens that preceded them.

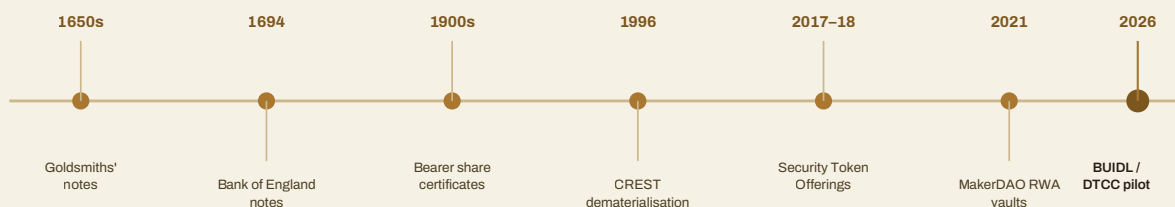


Fig. 1 — The ladder of claims: each generation's version of “a portable receipt for a less portable asset,” from handwritten goldsmiths' notes to institutional on-chain funds.

A tokenised security is closer kin to CREST's electronic book entry than to the coloured coins of 2014. The novelty in 2026 is institutional participation, not the underlying idea.

02

What Tokenisation Actually Is

Strip away the branding and tokenisation splits cleanly into two families, and the distinction between them matters more than anything else in this essay.

The first family is the **tokenised claim**: a digital token whose entire value derives from a promise that something held off-chain — a Treasury bill in a custodian's account, a bar of gold in a vault, a pool of private loans — corresponds to the number of tokens in circulation. Stablecoins and real-world-asset

(RWA) tokens both belong here. Building one requires a legal wrapper (typically a special-purpose vehicle or regulated fund), a custodian to hold the underlying asset, an issuer to mint and redeem tokens against it, and some mechanism — an attestation, an audit, an oracle feed — by which the chain, and the people trading on it, can be told that the off-chain reality still matches the on-chain claim. The token standard itself (ERC-20 for simple fungible claims, ERC-1400 or similar for securities carrying transfer restrictions, SPL on Solana) is the least interesting part of this stack; it is plumbing. The legal and custodial arrangement behind it is where the actual risk lives.

The second family is the **native bearer token**: a digital asset with no off-chain referent at all, where the ledger entry is not a claim on an asset held elsewhere but is itself the entire asset. Bitcoin is the paradigm case, and it is essentially alone in it; even most other “cryptocurrencies” either function more like equity claims on a protocol's future cash flows or, when wrapped onto other chains, collapse straight back into the first family (a point Section 6 returns to).

This distinction exposes what tokenisation does and does not solve. It genuinely solves a settlement problem: a tokenised Treasury fund can settle in minutes, trade continuously, and be fractionalised down to arbitrarily small amounts, none of which is true of a traditional fund share processed through a transfer agent on a T+1 cycle. What it does not solve, and structurally cannot solve, is the *oracle problem* — the blockchain has no native way of knowing whether the gold bar is still in the vault, whether the loan book is still performing, or whether the custodian is solvent. Someone has to tell it, and that someone is a trust dependency the token has relocated, not removed. Tokenisation, in other words, is an improvement in the plumbing of claims. It is not an improvement in the reliability of the promise the claim represents. That promise is exactly as good as the weakest link in the chain of custodians, auditors, and legal structures standing behind it — which is the subject of Section 4.

03

The Numbers, Mid-2026

Two markets are worth separating, because headlines routinely conflate them. The larger by far is **stablecoins**: dollar- (and, marginally, other currency-) pegged tokens used primarily as trading and settlement collateral. The total stablecoin market capitalisation stood at roughly \$300–308 billion in August 2026, according to DefiLlama's aggregate tracking, up from around \$124 billion at the end of 2023 — a rise of well over 100 per cent in under three years, accelerated by the US GENIUS Act, signed into law in July 2025, which gave American issuers legal certainty around reserves and licensing for the first time. Tether's USDT remains dominant with roughly 59–64 per cent of supply (on the order of \$184–190 billion outstanding), with Circle's USDC a distant second at around 24 per cent.

The smaller, faster-growing, and arguably more interesting market is **tokenised real-world assets excluding stablecoins** — tokens representing Treasury bills, private credit, commodities, equities, and

similar instruments. This segment reached roughly \$31 billion in distributed (that is, actually transferable and tradeable) value by mid-2026 according to RWA.xyz, up from around \$5–6 billion at the start of 2025. Tokenised US Treasuries and money-market funds form the largest slice at approximately \$13.5 billion, led by BlackRock's BUIDL fund (around \$2.4–2.5 billion) and Ondo Finance's USYC (around \$3.0 billion). Private credit runs a close second by most counts, at somewhere between \$5 billion and \$8 billion in distributed value depending on methodology (broader counts that include locked, non-transferable positions put the figure closer to \$18–19 billion). Tokenised commodities — overwhelmingly gold — reached about \$7.3 billion, and tokenised equities remain the smallest category at roughly \$960 million, around 60 per cent of it on Ondo's Global Markets platform.

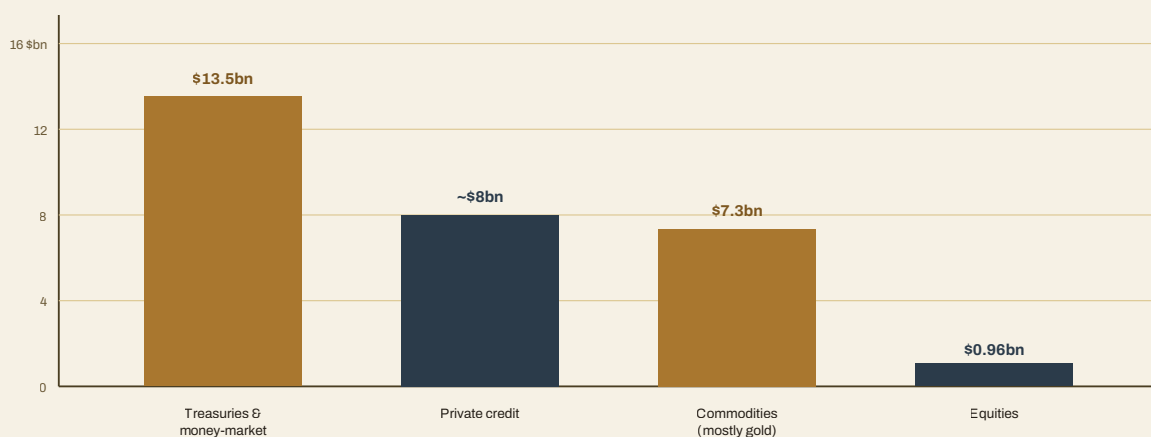


Fig. 2 — Tokenised real-world assets by category, distributed on-chain value, mid-2026 (excludes stablecoins). Figures approximate and time-sensitive; sourced from RWA.xyz-derived reporting, see references.

The institutional signal matters more than any single figure. In December 2025 the Depository Trust & Clearing Corporation — the US infrastructure that safeguards more than \$100 trillion in securities — received an SEC no-action letter for a three-year pilot tokenising DTC-custodied assets, expected to begin rolling out in the second half of 2026. Nasdaq and the NYSE both signalled parallel moves toward tokenised settlement infrastructure across the same quarter. When the institution that already clears most of America's securities starts testing blockchain-based settlement, tokenisation has stopped being a crypto-native experiment and started being a capital-markets infrastructure project,

however early-stage it remains against the roughly \$400 trillion in global financial assets it is still a rounding error next to.

04

The Trust Problem: A Case Study in Real Time

Every claim-based instrument in this essay reduces, eventually, to one question: is there really something behind the receipt, and can an outsider check? The goldsmiths' depositors could not check — they had to trust the goldsmith's word, and some goldsmiths abused that trust badly enough to help invent the very idea of a bank run. Three and a half centuries later, the mechanism for checking has become more sophisticated, but the underlying difficulty — verifying a promise rather than taking possession of the thing — has not gone away, and Tether's disclosures across 2026 make an unusually clean illustration of why.

USDT is the largest stablecoin in circulation, with roughly \$190 billion outstanding as of mid-2026 and around 80–83 per cent of its reserves held in short-dated US Treasuries, alongside overnight repo, more than 146 tonnes of gold, several billion dollars of Bitcoin, and a smaller book of secured loans. For most of Tether's history, the public evidence for this composition came from quarterly *attestations* published by the auditor BDO Italia. An attestation and an audit are not the same instrument, a distinction worth stating precisely: an attestation confirms a specific, narrow assertion as true at a single point in time, while an audit examines the underlying systems, controls, and records across a period. A clean attestation tells you reserves matched liabilities on the day someone looked. It does not tell you what happened the day before or the day after, and it does not examine whether the controls that produced the number are themselves reliable.

In August 2026, Tether announced that KPMG had issued its first-ever unqualified audit opinion, covering the full 2025 financial year of Tether International, S.A. de C.V. — the entity that issues USDT — and confirming that reserves exceeded liabilities by \$6.814 billion as of 31 December 2025. This is a genuine milestone: a decade into USDT's existence, this was the first time a Big Four firm had signed off on a full-year audit rather than a quarterly snapshot. Two qualifications followed almost immediately. First, Tether has not published the underlying audited financial statements, only the headline opinion, and the audited entity is one piece of a considerably more complex group structure — Tether Holdings Limited in the British Virgin Islands, separate Operations and Investments entities, and gold-related subsidiaries — leaving open exactly how the audit's scope maps onto the reserves BDO reports quarterly. Second, and more tellingly, BDO's own attestation for the following quarter, dated 30 June 2026, put the same “excess reserves” buffer at \$4.11 billion — a decline of roughly 40 per cent in six months.

INSTRUMENT	WHAT KPMG'S AUDIT TELLS YOU	WHAT IT DOESN'T TELL YOU
2025 KPMG audit	Reserves exceeded liabilities by \$6.814bn on 31 Dec 2025, examined across systems and controls, not just a snapshot.	Anything about the reserve position today — the audit's currency degrades from the moment it is issued.
Q2 2026 BDO attestation	Buffer stood at \$4.11bn on 30 June 2026 — the most current public figure available.	Whether the controls behind that number would survive the deeper scrutiny of a full audit.

Neither figure is alarming on its own; a multi-billion-dollar buffer over \$190 billion in liabilities is a conservative reserve position by the standards of most banks, let alone most stablecoins. The point is structural, not a prediction of Tether's insolvency: a “fully backed” claim is a state that must be continuously and independently re-verified, not a fact that, once established, stays true. An unqualified audit opinion dated to one day in the past is not the same evidence as an unqualified audit opinion dated to today, however much market commentary treats the two as interchangeable. This is precisely the goldsmith's dilemma, transplanted from Restoration London to a BVI-incorporated issuer with El Salvadorian operations and a blockchain settlement layer: the receipt is only as sound as the last time someone independently counted the gold, and the counting has to happen again, and again, forever.



Fig. 3 — The length of the trust chain: a tokenised claim depends on every link between the off-chain asset and the holder remaining sound simultaneously; a native bearer asset has no such chain to break.

05

Britain's Rulebook

Britain's approach to all of this has been notably slower and more procedural than either the United States' GENIUS Act (signed July 2025) or the European Union's MiCA regime, and the 2026 timeline is

worth setting out in full, because the gap between “the law exists” and “the law applies” is unusually wide.

Parliament passed the Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026 on 4 February 2026, creating new UK regulated activities for issuing a qualifying stablecoin, safeguarding qualifying cryptoassets, and operating a qualifying cryptoasset trading platform. On 18 May 2026, the Financial Conduct Authority and the Bank of England jointly published a Call for Input specifically on tokenisation in UK wholesale financial markets — tokenised bonds, equities, and fund units — alongside a parallel Bank of England consultation on extending RTGS and CHAPS settlement hours toward near round-the-clock operation. The pairing is telling: Britain's institutional interest in tokenisation sits at least as much in modernising wholesale securities settlement as in retail stablecoins.

On 30 June 2026 the FCA published its core rulebook — three policy statements covering admissions and disclosures and the cryptoasset market abuse regime (PS26/9), stablecoin issuance (PS26/10), and regulated cryptoasset activities generally (PS26/11). The rules confirm that tokenised versions of eligible backing assets are not prohibited, provided custody requirements under the Client Assets sourcebook are met, and that stablecoin issuers must hold backing assets equal to minted supply in eligible liquid instruments — a UK-specific echo of exactly the reserve-adequacy question Section 4 examined in Tether's case. The authorisation gateway for firms to apply opens on 30 September 2026 and closes on 28 February 2027, but the substantive regime itself does not commence until 25 October 2027 — nearly two years after the enabling legislation passed Parliament, a distinctly British interval between a rule existing on paper and a rule actually biting.

The market this elaborate architecture governs is, domestically, still tiny. The one sterling-denominated stablecoin currently issued in the UK, Tokenised GBP (tGBP), had a market capitalisation of roughly \$1.5 million as of March 2026 — a rounding error against USDT's \$190 billion, and smaller than many individual retail crypto positions. Britain has spent 2026 building a fairly comprehensive legal gateway for a domestic retail stablecoin market that barely exists yet. The more plausible wager, consistent with the FCA and Bank of England's joint focus on wholesale tokenisation, is that the UK's real opportunity in this space lies in tokenising gilts and fund units for institutional settlement rather than in competing for dollar-stablecoin trading volume — a market the US already dominates by a wide margin.

06

The Exception That Proves the Rule

This series has previously set out, at length, why Bitcoin's fixed and verifiably scarce supply gives it a claim to monetary soundness that no discretionary currency can match. The point relevant here is narrower and simpler: Bitcoin was never a claim on anything. Every instrument discussed in this

essay — a stablecoin, a tokenised Treasury fund, a tokenised gold bar — is a promise that something else, held somewhere else, by someone else, corresponds to the number sitting in your wallet. Bitcoin is the number in your wallet. There is no issuer who can default, no custodian whose audit can lapse between quarters, no attestation that goes stale the day after it is published, because there is no off-chain thing standing behind it that could go missing in the first place. The asset and the ledger entry are the same object, secured by the same proof-of-work consensus that makes double-spending computationally infeasible rather than merely contractually forbidden.

It is worth addressing “wrapped Bitcoin” tokens directly, because they might look like a counter-example and are in fact a demonstration of this essay's central point. A token such as WBTC exists because a custodian holds real Bitcoin and mints a claim against it on a different chain, for users who want Bitcoin-linked exposure inside an Ethereum-based application. That construction re-imports every trust dependency described in Section 4 — a custodian, a redemption mechanism, an issuer, an attestation regime — onto the one asset in this essay that was specifically engineered not to need any of them. Wrapping does not make Bitcoin more useful in a vacuum; it makes a claim on Bitcoin exist, with all of the fragility that any claim in this essay has been shown to carry. The bearer asset does not stop being a bearer asset when someone wraps it — but the wrapped token is no longer the bearer asset. It is a new claim, subject to the old problem, wearing a familiar ticker symbol.

The tokenisation industry, in aggregate, is racing to build faster, cheaper, more fractional versions of the goldsmith's receipt — and by most of the metrics in Section 3, it is succeeding at that narrower

engineering task. Bitcoin's entire proposition, going back to its first block, was different: not a better receipt, but the removal of the need for one.

Summary

Tokenisation is old wine — the negotiable claim on an asset, a technology at least as old as the 1650s goldsmith's receipt — in new packaging. The packaging genuinely matters: faster settlement, fractional ownership, and continuous markets are real improvements, and 2026's data shows real institutional weight behind them, from a stablecoin market above \$300 billion to a tokenised real-world-asset market above \$31 billion and the Depository Trust & Clearing Corporation piloting on-chain settlement for the securities infrastructure it already runs. But the improvement sits entirely in the plumbing. It does nothing to change the older problem of verifying that a claim's backing is real, complete, and current — a problem Tether's own 2026 disclosures illustrate with unusual clarity, where a landmark full-year audit and the very next quarter's attestation already tell two different stories about the same reserve buffer. Britain's newly-built regulatory gateway, live in stages from September 2026 through October 2027, brings this activity properly inside the regulatory perimeter for the first time, with its heavier institutional bet placed on wholesale securities tokenisation rather than a retail sterling stablecoin market that, for now, remains close to nonexistent. Bitcoin sits outside this entire taxonomy — not a superior claim, but the one instrument in this story with no claim to make at all, and no promise for anyone to keep.

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